the existence and operation of the internal check system.

3. **To Identify the Weaknesses:** The auditor should identify the weakness of the system which will result in occurrance of errors and frauds taking place.
4. **To Suggest for Improvements:** If the system of internal check is ineffective, the auditor should make suggestions to strengthen the system of internal check.
5. **To Analyse the Extent of Reliance:** The auditor should carefully analyse the extent to which he can rely on the effectiveness of internal check. If the system of internal check is effective, he can check sample transactions thus devoting his attention on other important audit areas.

1.9 Internal Check - Cash Transactions

Checking of all cash transactions should be given utmost importance because employees tend to involve in fraudulent activities by misappropriating cash and manipulating accounts in an organistion. Hence, the auditor should verify the system of internal check in operation with regard to cash receipts and cash payments, which is explained in detail below –

1.9.1 Internal Check-Cash Receipts

There should be proper system of internal check as regarding cash transactions as the employees tend to misappropriate cash in an organisation. Cash receipts may be misappropriated in the following manner:

- Cash receipts may not be entered in the cash book. Cash received may be understated by preparing duplicate receipts for amount less than what is actually received.
- Cash sales may be treated as credit sales.

The following system of internal check may be adopted as regards cash receipts.

1. All inward remittances should be opened by the cashier in the presence of a responsible officer.
2. On receipt of cash or cheque, it should be immediately entered in cash book or cheque received notebook.
3. All remittances (draft, cheque) must be crossed as 'account payee only'.
4. Cash and cheques received should be deposited immediately.
5. Bank pay-in-slips should be prepared by a separate person, who is not entrusted with the work of depositing cash in the bank.
6. Cash received after the banking hours should be kept in the locker of the business. The locker should be opened by the cashier in the presence of a responsible official.
7. Printed receipts should be issued for all remittances signed by the cashier and responsible official.
8. Unused receipt book should be kept under lock and key under the custody of the responsible official.
9. Cancelled or spoilt receipts should not be detached from the receipt book.
10. Cash balance should be physically verified by a responsible official by surprise check at frequent intervals.

Chapter_01.indd 8 12/23/2019 2:49:44 PM